

Table 11.6 Volume Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Volume trend	67% up	73% up	67% up	66% up
Rising volume trend performance	42%	27%	−14%	−23%
Falling volume trend performance	41%	19%	−13%	−20%
Heavy breakout volume performance	41%	25%	−14%	−21%
Light breakout volume performance	43%	24%	−13%	−23%

Volume trend. Volume trends upward from 66% to 73% of the time on average. However, don't throw away a trade because the pattern has a downward volume trend. Try to recycle.

Rising/Falling volume. Half the time, the volume trend doesn't really matter to performance. In bear markets, we see a wider separation of results. For example, after upward breakouts in bear markets, price averages a climb of 27% compared to just 19% for patterns with falling volume. The sample counts (146 versus 54, respectively) are not as robust as I like to see, so the results may change.

Breakout day volume. The broadening top is a rebel: It doesn't conform to common wisdom about heavy breakout volume (which is, heavy breakout volume helps performance). As the table shows, sometimes it helps, sometimes it hurts, and half the time it can't make up its mind. However, as a general rule, you should see improved performance (probably meager) if breakout day volume is above the prior 30-day average.